

Operating Model



Idea in Brief

Operating Model design is an integral part of strategy execution. The choices you make in designing your operating model are **strategic decisions** that shape your competitive advantage – not merely operational tweaks. Every design choice should reinforce your chosen playing field and enable the effective delivery of your unique value proposition[1]. In other words, once you have defined *where* you compete and *how* you intend to win (your value proposition), the next step is deciding *how to organize and operate* to deliver on that promise better than anyone else. A well-designed operating model translates lofty strategic goals into the practical **capabilities** that set your company apart[2].

Crucially, an effective operating model focuses on building a small set of **core capabilities** that are distinctive, hard to replicate, and tailored to your strategy[3]. These capabilities – developed through collective organizational learning rather than one-off best practices – become the engine of sustainable competitive advantage. To enable such capabilities, there are eight fundamental **building blocks** of an operating model (from processes and people to technology and infrastructure) that leaders can configure[4]. The goal is to align all these elements to achieve your target capabilities and reinforce your strategic positioning[5]. This often requires explicitly mapping the “from-to” transformation: understanding your current state versus the required future state, and charting a clear path to evolve each aspect of the operating model accordingly[6]. Above all, **coherence is key** –

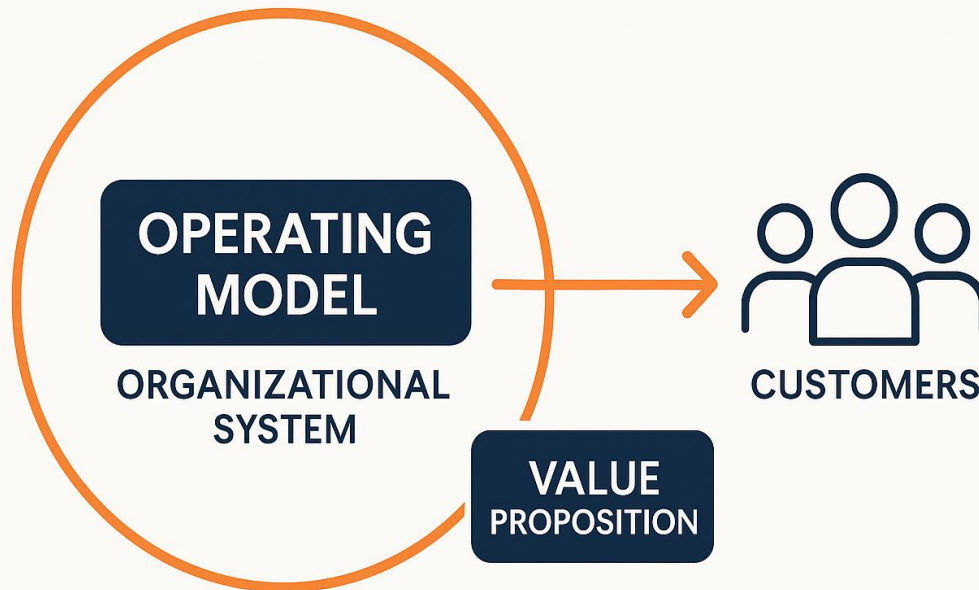
the true power of an operating model lies in how well all the pieces fit together. When processes, resources, and structures are mutually reinforcing, they create organizational strength that competitors can't easily copy. Conversely, misaligned or conflicting elements will undermine execution and erode your competitive position[7]. In sum, designing a coherent operating model around your core capabilities is what turns a great strategy on paper into superior performance in practice[8].



Illustration: Consider how **Ryanair's operating model** creates competitive advantage through systemic coherence. Ryanair's point-to-point route structure using secondary airports, a single aircraft type (Boeing 737), ultra-low base fares (supplemented by ancillary revenues), a lean staffing model, direct distribution (online bookings only), and high aircraft utilization don't just support their low-cost strategy – **they reinforce each other**, making the entire system more powerful than the sum of its parts. Ryanair's unit costs (around €34 per passenger) are dramatically lower than competitors' (€50–200+), enabling them to profitably offer an average fare of about €40 while still achieving load factors above 90% and carrying over 180 million passengers annually. A competitor could copy any single element of this model, but **replicating the entire interconnected system** would require fundamental changes that most established airlines are unwilling or unable to make[9][10]. The result is a resilient competitive advantage: Ryanair's whole operating

system is designed to win on cost, and rivals find it very hard to imitate without making painful trade-offs of their own.

What It Is and Why It Is Important



What is an Operating Model? In simple terms, the operating model is the organizational system that delivers your value proposition to your customers. It is the bridge between your strategic intent and day-to-day operations[11]. If your strategy defines what you want to achieve (your winning ambition, chosen playing field, and value proposition), the operating model defines **how** you will actually deliver that value to customers on the ground[12]. It encompasses how you configure activities, resources, and processes – essentially the “how to play” in order to fulfill your strategic choices[12].

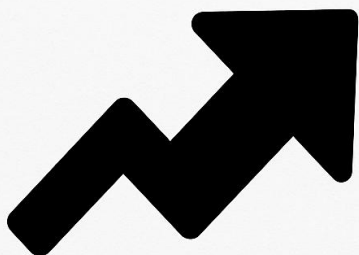
Think of the operating model as the **blueprint for execution**. It translates broad strategy into concrete terms: Which activities will we excel at? How will we structure our organization? What capabilities and technologies do we need? By answering these questions, the operating model ensures that everyone from leadership to the front line is aligned on how the business will run to achieve its goals[13]. A clear operating model provides focus and coherence, so that daily decisions and actions across the company all reinforce the strategy rather than pulling in different directions. It’s where lofty goals meet operational reality[13].

Why is it so important? Because even the best strategy will fail if it **cannot be executed**. The operating model is the determinant of whether strategic plans actually translate into

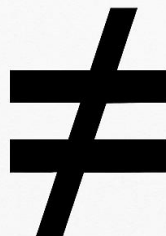
results[14]. Management research and business experience alike show that operating model design is not an “operational detail” – it’s a strategic imperative[15]. In today’s environment, traditional advantages based on products or positioning can be surprisingly short-lived. It is the **systemic advantages** – the way you configure your entire system of activities and capabilities – that are harder to imitate and thus more enduring[16]. Michael Porter famously observed that competitive advantage comes not from doing one thing 10% better, but from the way **all the activities** in a company’s value chain fit together to mutually reinforce each other[17]. In other words, advantage lies in **how you do what you do** – your unique configuration of processes, partnerships, structure, and so on – in ways competitors find difficult to replicate[18].

A well-aligned operating model creates this kind of **synergy**. It allows you to deliver your value proposition consistently and efficiently, in a way rivals can’t easily match. On the flip side, a poorly aligned operating model – one with internal inconsistencies or capabilities that don’t support the value proposition – will cause even a good strategy to fail in execution. Thus, designing the operating model is vitally important: it’s the mechanism by which strategy becomes reality. Companies that master this achieve a robust “**architectural advantage**,” where the whole system of choices gives them an edge. In summary, the operating model determines whether your organization can actually deliver on its strategic promise, sustain its competitive advantages, and adapt to change without losing what makes it special[19].

Strategic Trade-Offs



Adopting Best Practices



Strategy trade-offs, not best practices: It’s important to recognize that successful

operating models are fundamentally about making *strategic trade-offs*, not just adopting industry best practices. Best practices, by definition, become common knowledge – they help you keep up, but they rarely help you **win**, because competitors can copy them too. Real competitive advantage comes from making **deliberate choices** to excel in certain areas while accepting limitations in others. When properly designed, these trade-offs act as barriers to imitation that protect your competitive position[20]. A rival might copy one aspect of your model, but to achieve the same results they would have to replicate your *entire system* of activities – something that often conflicts with their own strategy or capabilities[20]. This is why established full-service airlines have struggled to compete with ultra low-cost carriers: achieving the lowest costs required **fundamental trade-offs** (in service levels, route structure, amenities, etc.) that traditional airlines couldn't make without undermining their own customer promises[21]. Effective operating model design requires the courage to decide **what you will not do**, and the discipline to stick to those choices over time[22]. There is no one “perfect” operating model – only the model that best aligns with your unique strategy. By configuring a unique system of trade-offs that enables your specific value proposition, you create distinctiveness that competitors find extremely hard to copy – in essence, your choices build **structural barriers** around your competitive advantage[23][24].

Strategic Choices

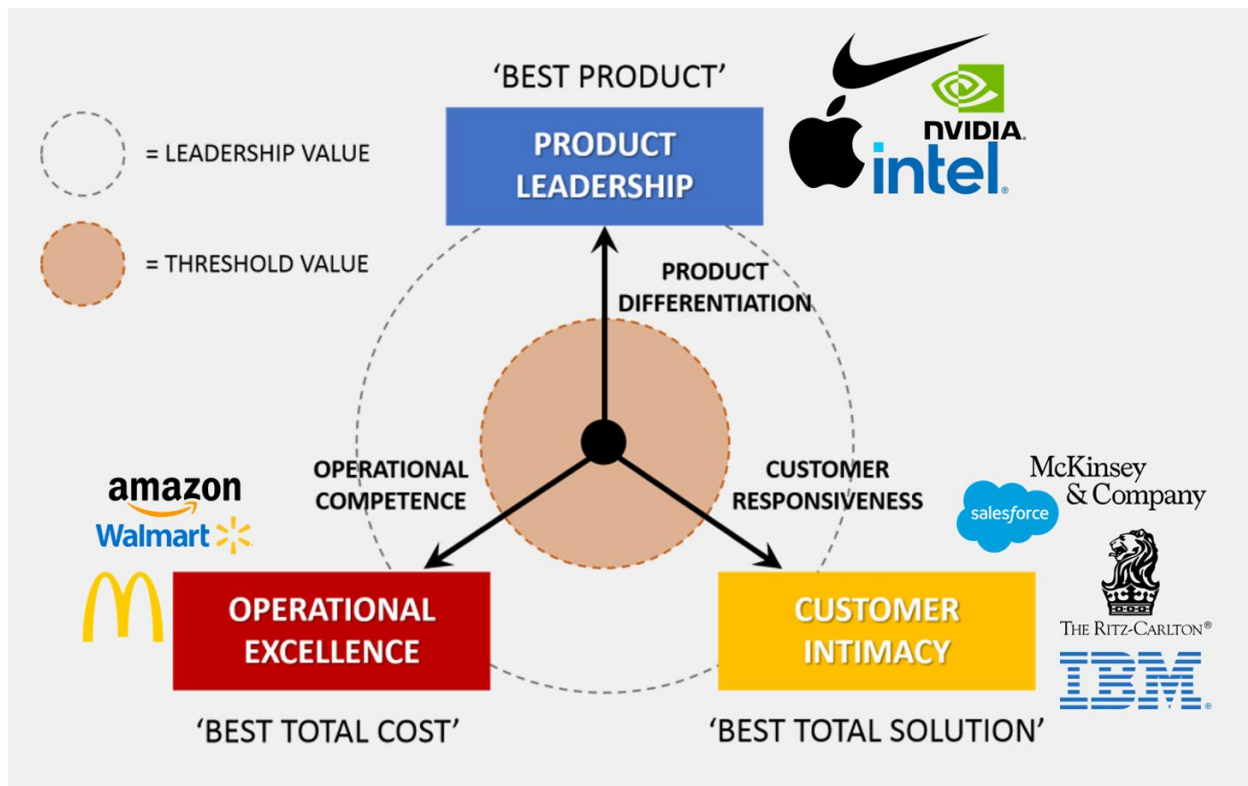
Once your value proposition is defined, the operating model choices that bring it to life naturally follow. Designing an effective operating model involves a series of strategic design decisions – from choosing a primary focus for value creation, to aligning the organization around key capabilities, to configuring the value chain that delivers your offerings. In this section, we'll walk through these choices in a logical flow:

- **Defining a Value Discipline and Core Capabilities** – identifying the unique way you will compete and the few capabilities you must excel at (and using the VRIN test to ensure they can be truly differentiating).
- **Aligning the Eight Building Blocks** – configuring the key elements of your organization (processes, people, technology, etc.) to build and support those capabilities.
- **Designing the Value Chain Configuration** – determining how your set of activities will be arranged (and what trade-offs will be made) to deliver your value proposition better than competitors.

Let's delve into each of these in turn.

Defining a Value Discipline and Core Capabilities

Illustration: Treacy & Wiersema's three value disciplines – **Operational Excellence, Product Leadership, and Customer Intimacy** – provide alternative strategic focuses for an organization[25].



The first and most fundamental strategic choice is selecting your primary “**value discipline**.” This concept, defined by Treacy and Wiersema, refers to the distinctive approach to creating value that will define your competitive positioning[26]. In essence, you must decide whether your company will primarily compete on **cost and efficiency**, on **innovation and product superiority**, or on **deep customer understanding and service**. That choice then guides all other operating model decisions[27]. By choosing a clear value discipline, you establish a strategic filter for identifying what **core capabilities** you need to develop[28]. Rather than trying to be good at everything, you focus on the 3–6 things your organization must do uniquely well to excel in your chosen discipline[29]. This dramatically simplifies capability-building: it allows you to hone in on the specific competencies that will set you apart, instead of getting lost in a sea of “good-to-have” skills and processes[29]. In short, your value discipline becomes the foundation of your operating model design.

Research shows that market-leading companies tend to **excel in one** of these three disciplines[30]. They still meet baseline standards in the other areas, but they stake their competitive advantage on one primary dimension of value. Let’s briefly explain each discipline:

- **Operational Excellence** – This discipline is about delivering reliable products or services *at the lowest total cost* and with great convenience. Companies pursuing operational excellence aren’t necessarily product innovators or bespoke solution providers; instead, they win by **streamlining operations** and executing with flawless efficiency. Their operating models emphasize standardized, tightly

controlled processes with an almost religious focus on eliminating waste, variability, and extra cost[31]. There is “one best way” to do each task, and that way is relentlessly optimized for speed and cost-effectiveness[32]. The goal is to provide customers what they need quickly, reliably, and at ultra-competitive prices. Classic examples include **Walmart**, which revolutionized retail with superior supply chain efficiency, **McDonald’s**, which built a global empire on highly standardized fast-food operations, and **Amazon’s** fulfillment system, which exemplifies operational excellence in e-commerce logistics[33]. All of these companies configure their operating models to drive down costs and deliver consistency at scale, making it very hard for less efficient rivals to compete on price and convenience.

- **Product Leadership** – This discipline focuses on offering cutting-edge, high-performance products that push the frontier of innovation. Product leaders win by having the **best product** – the most advanced technology, the highest quality, the most features – often redefining what’s possible in their industry. Their operating models are built for speed and agility in innovation. These organizations foster flexible structures that can reconfigure teams quickly; they encourage experimentation, entrepreneurship, and a culture that rewards new ideas[34]. Processes are engineered for rapid product development cycles and quick decision-making, rather than for consistency or lowest cost[35]. Substantial resources are invested in R&D, prototyping, and staying ahead of the curve technologically[36]. The entire company is oriented towards constant innovation. Examples include **Apple**, which consistently delivers breakthrough products that redefine entire categories, and **Intel**, which for decades maintained semiconductor leadership through relentless innovation in chip design and manufacturing[37]. Sports apparel leader **Nike** is another example, known for innovative product designs and performance features. Even newer tech firms like **NVIDIA** have transformed their industries by continuously pushing performance boundaries[38]. These companies’ operating models prioritize creativity, speed, and a tolerance for the chaos that innovation can require – all in service of staying ahead of competitors with superior products.
- **Customer Intimacy** – This discipline means delivering not the best product per se, but the **best total solution** for each customer. Companies pursuing customer intimacy strive to build deep, long-term relationships by **knowing their customers’ needs in detail** and tailoring products or services to meet those specific needs[39]. The operating model here emphasizes flexibility, customization, and exceptional customer service. Such companies empower front-line employees to go above and beyond for clients; they gather and leverage customer insights to personalize offerings; and they often organize internally around customer segments or even individual accounts rather than product lines. The culture centers on client advocacy and responsiveness. Good examples include high-end retailer **Nordstrom**, famous for exceptional personal service and customer attention, and luxury hotel chain **Ritz-Carlton**, which creates personalized guest experiences –

staff are trained and empowered to anticipate individual preferences and “wow” each guest[40]. In B2B, **IBM Global Services** exemplifies customer intimacy by developing customized solutions and deep relationships with each client[41] (similarly, leading professional service firms like McKinsey build long-term partnerships, and tech firms like Salesforce dedicate teams to ensuring each customer’s success[42]). These organizations configure themselves to be highly adaptable and customer-centric – even if it means higher cost or complexity – because they win through superior service and tailored solutions that engender intense customer loyalty.

In choosing one of these disciplines, a company is making a clear **trade-off** about how it will win. Your value discipline must align with your value proposition and target market – it’s essentially a strategic theme that guides your entire operating model[43]. For example, if your value proposition is the lowest cost and fastest delivery (say, in discount retail or online commerce), **Operational Excellence** is the obvious discipline. If it’s cutting-edge innovation (in tech or fashion, for instance), **Product Leadership** is the fit. If it’s bespoke service or complex integrated solutions (like enterprise software or consulting), **Customer Intimacy** will be your focus. This choice then shapes every subsequent decision about how you configure your business – from which activities you prioritize, to what kind of people you hire, to how you measure success[44]. In short, the value discipline provides strategic coherence. It ensures all elements of your operating model work together to deliver one kind of value exceptionally well, rather than spreading efforts too thin or sending mixed signals. Companies that try to hedge or straddle between disciplines often end up mediocre at each and outstanding at none. By contrast, committing to one discipline allows you to build truly world-class capabilities in that area and achieve a reputation that competitors will find difficult to challenge[45].

Choosing a primary discipline doesn’t mean you **ignore** the other dimensions of value – you still need acceptable performance in those – but it does mean you **design your organization to excel in one**. Once you know your chosen discipline, you can pinpoint the specific **capabilities** that fuel success in that discipline. For instance, an Operational Excellence company like Amazon or Walmart must develop capabilities in supply chain management, process engineering, and cost control. A Product Leadership firm like Apple lives or dies by its product design, R&D, and innovation culture. A Customer Intimacy player like Ritz-Carlton needs capabilities in customer analytics, personalized service delivery, and client relationship management. By using the value discipline as a filter, you can zero in on the 3–5 interlocking capabilities that really matter for winning in your chosen way[46]. Those become the “crown jewels” that your operating model must nurture. All other competencies, while necessary to run the business, take a back seat in investment and attention. This tight focus on a few core capabilities (guided by your value discipline) allows your operating model to produce **strategy-aligned excellence** instead of a scattershot of good-but-not-great activities.

V	Value: Do capabilities exist that are valued by customers and provide potential competitive advantage?
R	Rarity: Do capabilities exist that no (or few) competitors possess?
I	Inimitability: Are capabilities difficult for competitors to imitate?
N	Non-substitutability: Is the risk of capability substitution low?

Increasing
bases of
sustainable
competitive
advantage

Ensuring sustainable advantages – the VRIN test: Not all capabilities are created equal. Even among your core capabilities, you want to invest in those that will give you a **durable competitive edge**. This is where the **VRIN framework** (from the Resource-Based View in strategy) comes into play. VRIN stands for **Valuable, Rare, Inimitable, and Non-substitutable**[47][48]. It's a simple but powerful test for any resource or capability: if it meets all four criteria, it can potentially be a source of *sustained* competitive advantage; if it falls short on one or more, competitors may eventually overcome that advantage[49]. Let's break down these criteria in brief:

- **Valuable:** Does this capability contribute significant value for customers or efficiency for the company? In other words, does it directly help attract customers or reduce costs? If a capability doesn't influence customers' purchase decisions or your economics, it's not a true source of advantage[50].
- **Rare:** Is this capability unique or at least uncommon among competitors? If every competitor has it, then it's simply a necessity, not a differentiator[51]. A rare capability might stem from unique knowledge, exclusive access, or a one-of-a-kind process that others lack[51].
- **Inimitable:** Is the capability difficult for others to imitate or acquire? The best capabilities are built on complex routines, deep know-how, company culture, or other factors that rivals *can't easily replicate*[52]. If a competitor can quickly copy or buy the same capability, it won't confer lasting advantage.
- **Non-substitutable:** Is there no different capability or resource that could provide a similar benefit? In other words, competitors cannot achieve the same outcome through an alternative means[53]. If your capability can be bypassed by another approach, its advantage is not secure.

Barney originally argued that a firm resource that is Valuable, Rare, Inimitable, **and** Non-substitutable can yield sustained competitive advantage[50]. Later formulations, known as **VRIO**, replace "Non-substitutable" with "Organized to capture value," essentially asking if the firm is set up to actually use the resource – but the core insight is similar.



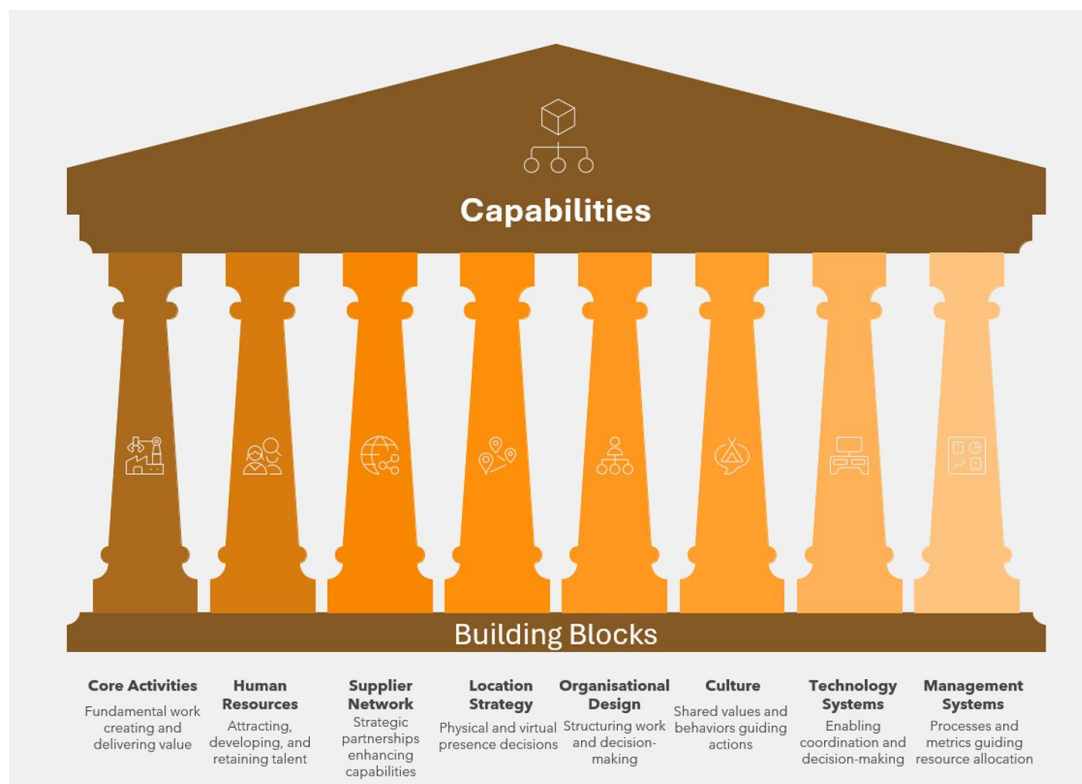
Illustration: *Apple's design capability as VRIN.* Consider Apple's renowned capability in design and user experience – often cited as a key to Apple's long-term success. Is it VRIN? It appears so. It is **valuable**: Apple's design excellence directly drives customer demand and supports the premium prices people pay[54]. It's relatively **rare**: many companies have designers, but few have achieved Apple's level of design integration and brand loyalty – Apple's design ethos is distinctive in the industry[55]. It's **inimitable**: this capability isn't just about one star designer or one cool product; it's deeply embedded in Apple's culture, processes, and decades of experience, which rivals have struggled to duplicate[56]. And it's **non-substitutable**: there's really no alternative that provides the same value – competitors can't compensate for lack of design excellence simply by lowering price or

adding other features, because a certain segment of customers *will pay* for Apple’s superior design[57]. Even if we use the later formulation of VRIO, we would conclude that Apple is “organized to capture value”, as all its Operating Model and capabilities are set-up to translate design and user experience into its product offering. In summary, Apple’s design prowess passes the VRIN test: it’s a capability that competitors find very hard to match or neutralize[54][57].

By applying the VRIN lens to your own core capabilities, you can gauge which ones are likely to provide **sustainable** advantages. If one of your “core” capabilities turns out not to be rare or could be easily imitated, you may need to refine it or build additional differentiation into it. The goal is to ensure that the capabilities you’re betting on will truly underpin a lasting competitive advantage, not just a temporary edge[58][59]. In practice, this often means doubling down on the unique combinations of skills, processes, and assets that are hardest for others to copy. One capability alone might be copied, but a *system* of capabilities reinforcing each other is much harder to duplicate. VRIN helps confirm that you’re developing **not just any capabilities, but the right capabilities** – the ones that give you the *right to win* and keep on winning.

Aligning the Eight Building Blocks

Illustration: *The eight fundamental building blocks of an operating model.* This is an illustrative framework showing how the pieces fit together – from process choices (“core activities”) and people systems, to organizational structure, culture, technology, and management processes – all aligned to enable the firm’s chosen strategy[60][69].



Once the critical capabilities are identified, the next step is to configure the **organizational building blocks** that will enable those capabilities. In other words, you need to align every aspect of your operation to consistently deliver and strengthen your chosen capabilities. Strategy scholars Paul Leinwand and Cesare Mainardi, in their work on capabilities-driven strategy, have identified **eight key building blocks** of an operating model[60]. These are essentially the levers you can pull to shape how your organization runs. Our framework includes all eight: **Core Activities** (the processes and value chain of the business), **Talents & Human Resources**, **Suppliers & Partners**, **Locations** (your geographic footprint and physical assets), **Organizational Structure**, **Culture**, **Information Technology & Systems**, and **Management Systems** (planning, performance metrics, and governance)[61]. To build your target capabilities, you must configure each of these elements in the right way.

The idea is that **every building block aligns** to support the few things your company needs to do exceptionally well. For example, if your strategy and value discipline call for cutting-edge innovation (a Product Leadership focus), then you might configure these elements as follows: locate your R&D teams in a tech talent hotbed; adopt a flat, project-based organizational structure to speed up decision-making; hire and reward creative thinkers; cultivate a culture that tolerates risk and rapid experimentation; invest in agile collaboration tools and advanced engineering systems; and use management processes (like OKRs or innovation metrics) that encourage bold ideas over efficiency[62][63]. By contrast, if you're focused on Operational Excellence, you might centralize operations in cost-effective locations; implement a more hierarchical org structure to enforce standardization; hire for process discipline; foster a culture of continuous improvement and efficiency; invest in automation and robust ERP systems; and use management systems with tight process controls and Six Sigma-style metrics[64][65]. These two configurations are very different – as they should be, since each is aligned to a different value discipline. The key is **internal coherence**: every building block should be deliberately designed to reinforce the others in supporting your chosen way to play[66]. If you upgrade or change one element in isolation (say, install a powerful new IT system) but it conflicts with your processes or people's skills, you won't get the benefit. Many transformation efforts fail because companies tinker with one piece of the model without aligning the rest, leading to internal friction[67]. For success, all eight levers need to be pulling in the same direction[68].

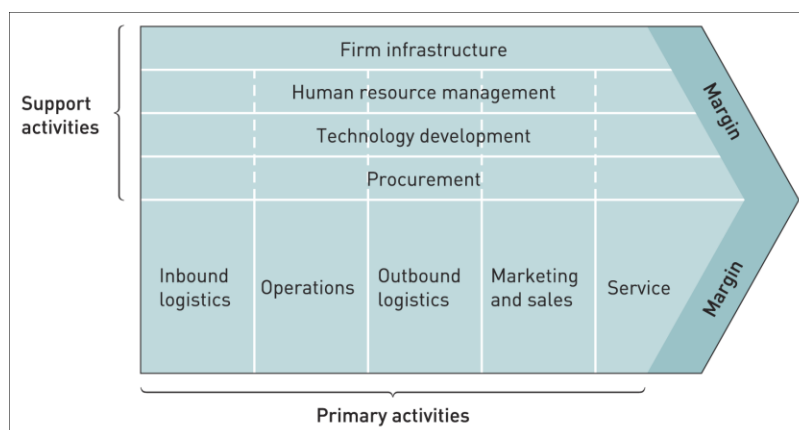
Shaping these building blocks is not usually a one-time task. Most organizations have an **existing** operating model in place today, which may or may not be ideally suited to their strategy. So operating model design often involves a transformation from the **current state** to a **target state**. It's useful to explicitly map each building block's "from-to" changes. For each element, ask: *What does it look like today?* and *What should it look like to support our strategy?* This gap analysis helps prioritize which changes are needed. For instance, maybe your current culture is very risk-averse, but you've chosen a strategy that requires bold innovation – that culture will need to evolve. Or perhaps your current IT systems are fragmented, but you need an integrated digital platform for a seamless customer experience – that's a capability gap to fill. By articulating the **current vs. target** for each

element, you create a roadmap of initiatives (e.g. reorganize the structure, implement new training programs, invest in specific technologies, etc.). Successful operating model redesign explicitly plots this “from-to” journey for the organization[70][71]. Such a transformation should be managed as a strategic program, because it often involves significant changes across processes, people, and systems. It’s not just about tweaking one area; it’s a coordinated realignment to a new way of doing business.

One more insight is the idea of **capabilities cohesion**. The eight building blocks are the things you can directly change through decisions and investments[72]. By aligning them in an integrated fashion, you create the conditions for your desired capabilities to emerge and flourish. Major capabilities like “customer intimacy” or “operational efficiency” aren’t the product of a single department or system; they result from many parts of the organization working in concert (processes, skills, culture, data, etc.)[73]. So, by designing and aligning all the building blocks together, you are effectively *engineering the capability system* that your strategy calls for[74]. When this alignment is achieved, your organization develops a kind of synergistic strength that competitors will struggle to match. It’s much easier to copy one product or one process than to copy an entire well-tuned company architecture. That’s why a coherent operating model can itself be a source of sustainable advantage[75].

In summary, aligning the eight building blocks means ensuring that **every facet** of your organization – from human talent to physical layout to intangible culture – is intentionally configured to enable your chosen value proposition and core capabilities[76]. It also means being clear on what needs to change: mapping out your “from-to” plan and sequencing those changes so that the transformation reinforces itself over time[77]. Companies that get this right create an execution machine uniquely suited to their strategy. Companies that neglect it often find themselves with great plans on paper but inconsistent execution, as different parts of the organization behave in ways that conflict with each other or with strategic aims. In the end, the operating model is the glue that holds strategy and execution together – and these building blocks are the tools for creating that glue.

Designing the Value Chain Configuration



The final step is to design your **value chain** – the specific set and sequence of activities that will deliver your value proposition. If the value discipline and capabilities tell you *what* you need to be great at, and the building blocks shape *how* your organization supports those capabilities, then the value chain is about *doing the work* – it's the operational blueprint of activities that execute your strategy on the ground. Michael Porter's classic Value Chain framework reminds us that any business can be described as a series of primary activities (inbound logistics, operations, marketing & sales, service, etc.) supported by secondary activities (technology, HR, procurement, and so on). But competitive advantage doesn't usually come from the generic list of activities you perform – most firms in an industry do more or less the same broad activities – it comes from **how you configure and coordinate** those activities differently to create unique value[78]. In other words, advantage stems from your **activity system** – the particular way you design, connect, and execute tasks, tailored to support your chosen value proposition in a way that competitors find hard to copy[78].

Designing the value chain starts with mapping out the **major activities** required to deliver your product or service from end to end. Then, based on your strategy, you determine which activities you will excel at, which you might perform in a unique or innovative way, and which you might *not* do yourself (perhaps outsourcing or eliminating them). This is the essence of **strategic operations design**: deciding what you will do differently (or not do at all) in order to deliver superior value to your target customers. The goal is to configure a chain of activities that, taken together, delivers your value proposition better than anyone else, and does so in a way that rivals either **cannot replicate or would have to make painful compromises to imitate**[79][80].



Often, this involves making deliberate **trade-offs**. You choose to do some things very *differently* from the industry norm, and you choose not to do certain things that others consider standard, because those choices give you an advantage. A classic example of innovative value chain configuration is **IKEA** in the furniture retail industry. IKEA's value proposition is stylish, modern furniture at very affordable prices, available immediately – essentially a combination of low cost and convenience. To achieve this, IKEA deliberately

does some activities in a very unconventional way. For one, IKEA designs all its own ready-to-assemble products with a focus on modular, flat-pack design. By doing so, they eliminate the need for large pre-assembled items and take huge costs out of shipping and storage (flat packs are cheaper to transport and stock)[81]. They also make key trade-offs: for example, what IKEA *does not* do is offer assembly or home delivery – customers themselves pick the furniture from the warehouse, transport it, and assemble it at home[82]. This “customer as part of the value chain” approach drastically reduces IKEA’s cost to serve. It’s a trade-off many traditional competitors wouldn’t dare make, because their models rely on providing those services. Yet that’s exactly the point: IKEA’s activity system is full of such mutually reinforcing choices. Its stores are large self-service warehouses located outside city centers (cheaper real estate, but customers must travel – another trade-off). Its product range is broad but *modular* – a limited set of components can be combined into many styles, achieving economies of scale in production[83]. IKEA outsources manufacturing of its furniture to a network of specialized producers who achieve scale efficiencies, while IKEA itself focuses on design, branding, and retail logistics[84]. The result of this carefully orchestrated system is that IKEA can offer attractive, good-quality furniture at 30–50% lower prices than traditional furniture stores, yet still earn healthy margins[84][85].

Just as importantly, IKEA’s choices create **barriers to imitation**. A competitor could certainly copy one piece of the model – say, flat-pack design or big warehouse stores – but to get the full cost and value advantage, they would have to adopt **the whole system**, including making customers do more work. For a conventional furniture retailer, that would conflict sharply with their full-service identity and customer expectations[86]. Thus, IKEA’s unique configuration has endured and been very hard to replicate. This illustrates Porter’s idea of “**strategic fit**”: the way a firm’s activities fit together to reinforce its value proposition and make the strategy tough to copy. The takeaway is to think in terms of **activity systems** rather than isolated tasks. Ask yourself: *What does our value proposition demand that we do exceptionally well? What could we do differently from the pack?* Perhaps you’ll choose to eliminate steps that don’t add value, or add new steps that enhance value, or perform certain activities in an unconventional way. Also ask: *Which activities are not critical for us to do in-house?* Those might be outsourced to partners who can do them more efficiently (as IKEA does with manufacturing). Ultimately, your value chain should be **tailored** to your value discipline and value proposition[87]. A distinctive value proposition will only translate into real competitive advantage if the configuration of activities is optimized to deliver on it[87]. That often means making tough choices – deciding **not** to do things that don’t fit your strategic focus, even if they are standard practice in the industry. The power of such trade-offs is that they force your company to concentrate on what it does best, and they make it harder for rivals to copy you without undermining their own strategy or identity[86][88].



In practice, tools like **value chain mapping** can help leadership teams visualize their current activity system and spot misalignments or opportunities for reconfiguration. You can diagram each step of your operations and ask, “Is this configured in the best way to support our chosen discipline? Are we doing too much here, or not enough? Could we do it differently, or partner with someone else for this step?” The aim is to design a coherent activity system where all the pieces work in concert. When you achieve that, you create what some call an **“architectural advantage”** – an edge that comes from the entire design of how you operate, rather than any single step or asset[84][89]. This is one of the most durable forms of competitive advantage, because while a competitor might copy *one or two* elements, it’s extremely difficult to duplicate a whole complex system of interlocking activities.

In summary, your value chain configuration must embody the strategic choices you’ve made – it should reflect your value discipline and leverage the capabilities and operating model you’ve built. A coherent value chain turns those high-level choices into action, ensuring that *how* you deliver value is unique and effective. By the end of this design process, you will have made a series of interdependent choices: a clear value discipline and set of core capabilities (validated by VRIN for durability), an aligned system of organizational building blocks to support them, and a tailored configuration of value-creating activities. By following this logical flow – value proposition to value discipline and capabilities (checked by VRIN), to building blocks, to value chain – you can design an operating model that truly becomes a competitive advantage in its own right, allowing your strategy to come alive and thrive for the long term[90].